

ENERGISING INDIA

Given the current bleak scenario, what India needs is an energy mix, political will and access to technology for the battle against time



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India is an energy-starved country. With its economic growth averaging 8 per cent, and projected to reach double digit soon, India's energy requirements are also likely to grow at 6 per cent vis-à-vis the world growth rate of 2 per cent. But we do not have many energy options. Our coal reserves will not last for more than 40 years and it will take another 50 years to secure our energy supplies. The only things we have are sunlight and thorium which can assure us solar and nuclear energy. This means we are going to be looking at incremental global supplies to augment our stock along with competition from China and other countries. Today, since there has been a technology and fuel denial for the development of nuclear power for more than 30 years, India has developed an in-house programme, but it is not of the capacity required for future development. We need to look at accessing technology from all around.

The other challenge is rationalising prices in the energy sector so that right kind of investments can occur. Due to tinkering in the oil and gas sector, the prospects of large investments

do not look too appealing, and one Cairn will not solve our problems.

The Indian energy sector is structurally handled by five different ministries, each concerned with its own turf and linkages, and the synergy between them is severely missing. Populist measures of state governments, including providing free power, besides increasing transmission and distribution losses, have turned the State Electricity Boards from being bankable to bankrupt.

The issue of carbon emissions has become the new battlefield in the fight for global dominance. This is clear from the way the developed nations are bringing in issues like technology transfer, protectionism and patent protection into talks on climate change. But reduction in carbon emission in India is not substantial compared to China and Latin America. We need to have value-added programmes to project various alternatives to get clean coal. CII will take the initiative to coordinate the methane route concept with industry and the government.

► **Heavy investments** The low base of energy generation and consumption can be mitigated only by heavy investments in greenfield projects which can be implemented with equipment that are inherently energy-efficient and will enable the investors to bag huge carbon credits.

► **Give incentives** Energy efficiency can be achieved through conventional energy sources by putting in place both policy and fiscal measures. Alternative energy sources, such as solar, wind and biomass should be popularised..

► **Improve transparency** India's energy security requires increasing the predictability and stability of energy markets and improving the investment environment in the energy sector.

► **Engage the world** India also needs to proactively engage energy-rich countries and back its energy diplomacy completely by its foreign policy. The decision to set up the Group of Ministers under the chairmanship of the external affairs minister is a crucial step in this direction.

as told to Nivedita Mukherjee

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